GMS WEEKLY

Your Source for Recycling News

August 19th, 2022
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Week 33

Highlights:

- **Minimal.**
- **Steel improves.**
- **No danger.**
- **Dry bulk slide.**
- **LCs limited.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"He that can have patience can have what he will."

– Ben Franklin

MARKET COMMENTARY

MALAISE!

The international ship recycling malaise that has gripped the markets over these recent / summer months continues for another week, with minimal-to-no activity and barely any firm interest from Recyclers, whilst fundamentals remain ever so fragile.

Steel plate prices have once again started to display their share of volatility in India, in addition to the currency that showed signs of firming towards Rs. 79.20 against the U.S. Dollar, whilst weakening back towards Rs. 80 mark before the week ended.

The Pakistani and Bangladeshi economies continue to teeter precariously on the edge with currencies and plate prices continuing to display some grasping signs of stability (against the U.S. Dollar) at their weakest levels ever. Although there seems no danger of a repeat of the Sri Lanka collapse that most pessimistic Recyclers in the sub-continent have been fearing.

Finally, the Turkish market continues to plummet and languish in the doldrums, with falling plate prices and vessel prices that are on their respective precipices of another drop away from oblivion.

Meanwhile, dry bulk charter rates in the larger segments have started to cool off of late, but many are expecting (and hoping) for a rebound come fourth quarter of the year. As such, there is not too much of an expectation on an increase in the number of recycling candidates just yet. Even in the most beleaguered sector of the shipping industry – VLCCs – has seen charter earnings and rates / interest rise once again, and this is further depriving ship-recycling markets of a supply of tonnage.

Overall, in the industry, L/Cs over USD 3 million (rumored to be further reduced to USD 2 Million) are struggling to get approvals from the Central State Bank in Bangladesh, so this is ruling out the import of most larger LDT tonnage into the country. It will take some time for the economic crisis and foreign currency woes to settle down there, before activity can return to some form of normality.

For week 33 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / (small) LDT	580 / (small) LDT	590 / (small) LDT
2	India	Weak	560 / LDT	570 / LDT	580 / LDT
3	Pakistan	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

BANGLADESH

BLEAK!

Further blow.

Rumour has it that the Bangladeshi government has been seriously considering reducing L/C opening limits from USD 3 million down to USD 2 million, in another catastrophic blow to Chattogram Buyers, who are becoming increasingly desperate to fill their emptying plots.

It has been an extremely inactive couple of quarters in Bangladesh, with minimal sales / sliding rates and until we see a greater supply of tonnage, it remains difficult to peg exactly where levels are at the moment.

Seeking approval.

There is also a question as to whether any large LDT tonnage will be able to beach at all, given the recently tightened L/C restrictions (with further limits likely forthcoming), as the government has deemed that the ship recycling sector is not an essential industry for the dwindling U.S. Dollar reserves in the country to spend on, leaving a bleak economic forecast for the Bangladeshi market.

NO MARKET SALES REPORTED

INDIA

CLAWING BACK!

Activity increase.

India has enjoyed several weeks of comparatively firmer activity & offers and local Buyers have even managed to secure one or two rare sales - a stainless steel tanker last week for a very firm price while a few more, small LDT candidates have also been discussed this week.

Unfortunately, local port position has little to support the ongoing sentiment with no new arrivals this week.

Making up.

Moreover, after very real fears that the currency would cross Rs. 80 against the U.S. Dollar, the Indian Rupee had mercifully settled back towards the Rs. 79.2X mark, whilst regretfully plummeting back down towards the Rs. 80 mark by the time the week ended.

Steel plate prices too have continued their volatile dance (just like the Indian Rupee), where steel levels firmed up during the early part of the week but fell back down as the week ended, only to have firmed USD 1/Ton this week.

This appears to have helped local sentiments overall, wherein the weakened state of fundamentals has become more of a "daily affair" and local Buyers are getting more eager to come forth and offer, even at these lower levels.

NO MARKET SALES REPORTED

PAKISTAN

NEED CONVINCING!

Plots empty

With an absolute dearth of vessels on plots and arriving for beaching in the Port Report, Pakistani buyers have been absolutely starved of tonnage over these last two quarters of the year.

End buyers can only have themselves to blame for this with some woeful performances on those vessels that were sold earlier in the year – with blatant renegotiations and even refusals to perform, whilst prices started to collapse due to a constantly depreciating currency earlier this year.

Demand improves.

It is therefore expected take some convincing for Ship Owners and Cash Buyers alike, to make their way to Gadani shores, even as demand and rates start to steady up again locally.

NO MARKET SALES REPORTED

TURKEY

NO END IN SIGHT!

There seems no end in sight to the state of the plummeting Turkish market. While local steel plate prices have reportedly declined by about USD 10/MT, import steel has plummeted a whopping USD 25/Ton, keeping local sentiments in the doldrums.

Steel falls

Even the Turkish blew past the TRY 18 mark, ending the week just north of TRY 18.10. As a result, even indications have been few and far between on units that remain excruciatingly invisible from the markets.

Overall, it seems even Q4 will be a quiet one for Aliaga Buyers.

Quiet Q4

NO MARKET SALES REPORTED

AMAZING FACTS

- *Thanks to 3D printing, NASA can basically email tools to astronauts. Getting new equipment to the Space Station used to take months or years, but the new technology means the tools are ready within hours.*
- *Only a quarter of the Sahara Desert is sandy. Most of it is covered in gravel, though it also contains mountains and oases. And here's another geography fact that everyone gets wrong: It isn't the world's largest desert. Antarctica is.*
- *Bananas grow upside down. Or technically, we peel them upside down. Naturally, they grow outward from their stems, but that means their bottoms actually face the sky. As they get bigger, the fruits turn toward the sun, forming that distinctive curve.*
- *There were active volcanoes on the moon when dinosaurs were alive. Most of the volcanoes probably stopped erupting about a billion years ago, but NASA findings have suggested there might still have been active lava flow 100 million years ago, when dinosaurs were still roaming.*
- *Dogs sniff good smells with their left nostril. Dogs normally start sniffing with their right nostril, then keep it there if the smell could signal danger, but they'll shift to the left side for something pleasant, like food or a mating partner.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	August 25 – September 02 September 07 – September 15 September 24 – October 02

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	August 27 – August 30 September 09 – September 12 September 25 – September 28

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 10 – September 12 – Mid-Autumn Festival	**No holidays in September**	August 30 – Victory Day **No holidays in September**

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ALANG - Port Position as of August 19, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Queensway*	*25,308*	*FSPO*	*Beached August 15*
Total Tonnage		**25,308**		

CHATTOGRAM - Port Position as of August 19, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ampar 8	1,305	Tanker	Arrived August 09
2	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
3	Bawean	3,212	Offshore Support Vessel	Arrived August 16
4	*BNS Agradoot*	*374*	*Navy Vessel*	*Beached August 14*
5	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
6	Hai Soon 26	2,061	Tanker	Arrived August 11
7	*Mascot*	*16,616*	*Tanker*	*Beached August 15*
8	*Pylades*	*4,156*	*Tanker*	*Beached August 17*
9	Tesla	19,684	Tanker	Arrived August 12
10	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**80,940**		

GADANI - Port Position as of August 19, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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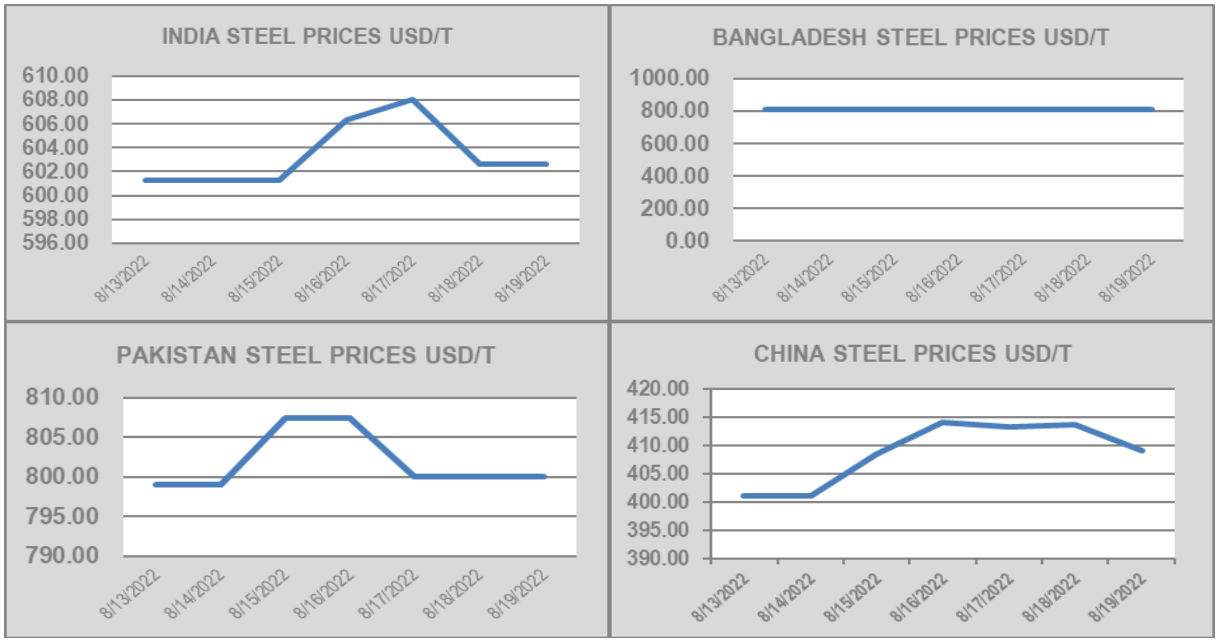
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/13/2022	601.31	47,900.00	799.09	175,000.00	808.08	76,000.00	401.26
8/14/2022	601.31	47,900.00	799.09	175,000.00	808.08	76,000.00	401.26
8/15/2022	601.31	47,900.00	807.51	172,000.00	808.08	76,000.00	408.69
8/16/2022	606.33	48,300.00	807.51	172,000.00	808.08	76,000.00	414.14
8/17/2022	608.01	48,300.00	800.00	172,000.00	808.08	76,000.00	413.33
8/18/2022	602.64	48,000.00	800.00	172,000.00	808.08	76,000.00	413.70
8/19/2022	602.64	48,000.00	800.00	172,000.00	808.08	76,000.00	409.17



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